

Grasim Industries Ltd

Industrials | Diversified Industrials | Mid Cap | <https://www.grasim.com/>

Company Overview

Grasim Industries Limited is the flagship company of the Aditya Birla group, it ranks amongst India's largest private sector companies. On standalone basis, GIL's core businesses comprise of viscose Staple fibre (VSF), caustic soda, speciality chemicals, rayon-grade wood pulp (RGWP) with plants at multiple locations. It also has certain other businesses such as fertiliser, textile

Financial Snapshot

Market Cap	■478,952 Cr	ROE	6.9%	Revenue CAGR	11.2%
P/E	79.35	ROCE	9.3%	PAT CAGR	29.3%
P/B	5.68	Net Margin	7.6%	EPS CAGR	27.7%
EV/EBITDA	15.23	Operating Margin	20.8%	Quality Score	60.00
Dividend Yield	1.0%	Debt / Equity	1.55	Interest Coverage	3.02
Asset Turnover	0.32	EPS	■85.00	Book Value	N/A

Investment Strengths

- High operating margin reflects operational efficiency.
- Profit growth has remained consistently strong.
- EPS growth indicates increasing shareholder value.

Investment Risks

- High debt increases financial risk.
- Negative free cash flow may constrain future growth.

Cash Flow Intelligence

Operational Weakness

Negative operating cash flow indicates weak core business performance.

Heavy Borrowing

Business depends on external financing instead of operations.

Capital Allocation

Latest Pattern: Growth Funded by Debt

Pattern History

Year	Pattern
2013	Mixed
2014	Reinvestor
2015	Reinvestor
2016	Reinvestor
2017	Reinvestor
2018	Distress Signal
2019	Growth Funded by Debt
2020	Reinvestor
2021	Reinvestor
2022	Reinvestor
2023	Growth Funded by Debt
2024	Growth Funded by Debt

Pattern Change Summary

Changed	Yes
From	Mixed
To	Growth Funded by Debt